

<u>Assumptions</u>		<u>Timeline</u>	
Face	\$100.00	7/1/2023 Coupon payment	
Current Quoted (Clean) Price	\$124.80	–76 days	
Coupon	9.0%	9/15/2023 Current time	
Interest rate	5.0%	108 days	
Conversion Factor	1.300	1/1/2024 (Next) coupon payment	
Delivery (days)	180	72 days	
Last Coupon (-days)	76	3/13/2024 Maturity of futures	
Next Coupon (+days)	108	110 days	
<u>Solution (Hull's Example 6-2)</u>		<u>COC: $F_0 = (S_0 - I) \cdot \text{EXP}(rT)$</u>	
Coupon thereafter	182	7/1/2024 Coupon payment	
Accrued Interest	\$1.859	<u>1. COC to calculate Cash forward</u>	
Cash (Dirty, Full) Price	\$126.6587	Spot	\$126.659
PV of next coupon	\$4.434	Income	\$4.434
Cash Futures Price	\$125.2760	Forward cash price	\$125.276
Days Accrued @ delivery	72	<u>2. Then dirty –i clean & standardize</u>	
Days Remain @ delivery	110	Subtract AI	\$1.780
Futures price, Quoted, 12% bond	\$123.4958	Quoted Price, 12% bond =	\$123.496
Futures price, Quoted, CTD	\$94.9968	Divide by CF of 1.30:	\$94.997